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**To:** ostp-ai-rfi
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In Response to “Request for Information on the Development of an Artificial Intelligence (AI) Action Plan” (Federal Register, 02/06/2025, referencing President Trump’s Executive Order 14179)

Comments from Charles Cresson Wood, Esq., JD, MBA, MSE, CISA, CISM, CISSP, CGEIT, CIPP/US, independent attorney and management consultant, and author of the new book entitled “Internal Policies for Artificial Intelligence Risk Management.” The comments were prepared on February 7, 2025.

If trust is not present, people will not use an AI system, or if they do use it, they will do so only when they take additional and often expensive steps, such as corroborate the information that the AI system has provided. Right now, many of the commercial AI systems give the public little to trust. There have been ample hallucinations, errors, and malfunctions -- some of which have led to deaths, damages to property, and erosion of civil rights (most notably privacy). If trust is not present, an AI system will not be used, or it will be actively opposed, obstructed, vandalized, resisted, or otherwise interfered with. There is no magic formula to obtain trust -- trust must be based on facts and it has to be earned. And one of the best ways to genuinely earn trust is through third party audits, and then the public disclosure of the written opinions coming from these audits. This approach has been successfully used to build trust in the public company financial reporting area, and it should similarly be applied to the high-risk AI area as well.

User trust also critically depends on the organization deploying an AI system having fully assessed and understood the risks of this unique AI deployment situation, and having taken the time to develop, deploy, and operate prudent control measures which are uniquely responsive to the needs of the situation. As it turns out, there are many different controls which deal with the unique risks that an AI system presents, and there is no one-size-fits-all solution which applies to all AI systems. Similarly, AI cannot simply use the controls which were used for prior technologies, because AI systems present their own different and new risks such as “emergent properties.” Emergent properties are those AI system capabilities that were not designed, programmed, or anticipated by those who built the AI system. These new AI risks, and the controls to manage these risks, typically don’t get the attention they need, because business, government agencies, non-profits, and other organizations are now racing ahead with both AI research and AI deployments.

Without a reasonably balanced risk management approach, deployments will be dangerous, and as a result, unnecessary serious losses will be sustained. These losses will in turn further erode confidence and trust, and also set-back any ambitious intentions to deploy AI systems. There is an urgent need for sustainable deployments of AI systems, that have been adequately assessed for risks, adequately designed, adequately trained, adequately documented, adequately tested, regularly monitored, as need be independently audited, and adequately aligned with the relevant ethical codes (including public perceptions and cultural norms).

If Executive Order 14179 (Removing Barriers to American Leadership in Artificial Intelligence) is going to be successful and truly impactful, it must be firmly based in reasonable, grounded, and sustainable risk management. Accordingly, government AI plans and goals must be not only performance-based, but they must also include adequate risk management efforts as well. Among other things, these risk management efforts should include: (1) annual performance of internal AI system risk assessments, (2) preparation of internal AI risk management policy statements reflecting the prudent control decisions that have been made, (3) preparation of internal AI ethics codes reflecting the trust-building principles on which AI systems are based, (4) for high-risk systems -- such as those which operate autonomously -- independent audits of both the risk management policy compliance, and the ethics code compliance, and (5) for certain high-risk systems, public disclosure of the written opinions from these independent audits.

An important place for the federal government to affect the trajectory of both AI research and deployment involves risk management, particularly restrictions on, and additional controls for, high-risk systems. Consistent with the direction in which the European Union’s Artificial Intelligence Act (AIA) is going, high-risk systems (especially autonomous AI systems) warrant the federal government’s: (a) proscription of what types of AI systems are currently acceptable, (b) interventions in those cases that are outside of these acceptable ranges (i.e., the systems are too dangerous given what we know now about controlling AI), (c) close monitoring of high-risk AI systems (especially those which involve infrastructure such as electrical grid systems), and (d) imposition of special requirements for these same high-risk AI systems (such as the disclosure of annual independent audit opinions).

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